AAROHAN CAPITAL

Forensic Equity Research Case

INVESTMENT COMMITTEE MEMORANDUM

Rajesh Exports Limited

RECOMMENDATION

D. Forensic Red Flag/Uninvestable

SUBMITTED BY

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Investment Committee Memorandum

1. Recommendation

We recommend Option D: Forensic Red Flag/Uninvestable. We should exit our legacy position in an orderly way and remove REL from the fund's investable universe until independent, transaction-level verification is complete.

Three reasons drive this call:

1. **About 98% of reported revenue cannot be verified today.** Subsidiaries account for 97-99% of revenue in every year from FY21 to FY25 [Exhibit 4]. SEBI calls Rs 15.15 lakh crore of it prima facie misrepresented, and no transaction-level records have been produced [Exhibit 7].
2. **The company's explanation is possible, but unproven.** Gold trading can generate very large revenue. However, the entity said to book that revenue is a holding company, and REL has not shown documents proving that it traded the gold as owner.
3. **The payoff is lopsided.** A clean audit may bring a recovery. Any other outcome could leave the equity close to worthless.

This is not a finding of fraud, and the SEBI order is interim. Our point is narrower. If we cannot trust revenue, we cannot value the company, and a fiduciary should not own what it cannot value.

2. Situation Summary

REL is a Bengaluru-based listed company in gold jewellery, exports and refining. It owns Valcambi SA, a large Swiss refinery, through a chain of subsidiaries [Exhibit 1]. Table 1 answers the analytical questions raised for each entity in the group.

Table 1: Group structure and what we can say today

Entity	Role	Question from Exhibit 1	What we can say today
Rajesh Exports Ltd (India)	Listed parent	What does standalone REL actually earn?	Rs 7,027 cr revenue and Rs 24 cr PAT in FY25, only 1.66% of group revenue [Exhibits 4, 5]
REL Singapore Pte Ltd	Overseas subsidiary	Does it have substantive operations?	Not shown in public disclosures. Unverified
Global Gold Refineries SA	Swiss holding company	Why are large revenues attributed here?	Company says it books gross gold trading. Not yet documented
Valcambi SA	Gold refinery	Do audited numbers reconcile with group revenue?	No. Rs 427 cr audited revenue vs Rs 4,16,072 cr attributed to subsidiaries in FY25 [Exhibit 8]
ACC Energy Storage Pvt Ltd	Battery subsidiary	Is this core or a distraction?	Not core, and not relevant to the revenue question. At most a distraction

We bought the stock because it screened cheap on price-to-sales and price-to-book, with large revenue, low debt and a well-known refinery [Exhibit 2]. Some analysts were uneasy even then, citing thin margins and low visibility into overseas subsidiaries [Exhibit 3].

In June 2026, SEBI's interim order found that REL did not furnish verifiable transaction-level records despite repeated requests, and that about Rs 15.15 lakh crore of subsidiary revenue over FY21-FY25 was prima facie misrepresented. It ordered a forensic examination. The findings are not final [Exhibit 7].

REL denies wrongdoing. It says its numbers are true, that SEBI compared a small Valcambi figure with group bullion revenue, that it is debt-free, and that it will provide documents [Exhibit 9].

Since the order, the chairman has been barred from dealing in REL shares and a new forensic auditor is to replace BDO.[1] REL chose not to appeal.[2] The stock now trades near Rs 67-71 (market capitalisation of about Rs 2,000 crore), against a 52-week high of Rs 239 in December 2025.[3]

3. Bull Case

The strongest version of management's defence rests on four arguments.

1. The Rs 15.15 lakh crore gap may be a comparison error, not fake revenue. The regulator set Valcambi's standalone audited revenue (Rs 427 crore in FY25) against the group's total subsidiary revenue (Rs 4,16,072 crore) [Exhibit 8]. In the company's view, these measure different things. A refinery that processes customers' gold records only its processing fee. A trading entity that buys and sells gold as owner records the full value of the metal. Under Ind AS 115, gross revenue is correct when the seller controls the goods before the sale, which means it holds title, carries price and inventory risk, and sets the price. If the group's trading subsidiaries book gross sales and Valcambi books only fees, the two figures will always be far apart, even if no sale was invented.

A simple check supports this. FY25 subsidiary revenue equals roughly 500-650 tonnes of gold at FY25 prices, well within Valcambi's stated refining capacity of about 2,000 tonnes a year.[4] The volume is physically possible.

2. Huge revenue on thin margins is normal for bullion. Physical gold trading moves high-value metal at very small spreads. PAT margins of 0.33-0.42% in FY21-FY23 are in line with that [Exhibit 6]. Valcambi is an established, LBMA-accredited Swiss refinery with real processing capacity, so the group is built around a real operating asset, not a shell.

3. Low debt removes near-term insolvency risk. Accounting crises usually destroy equity through frozen credit lines or creditor action. REL says it does not rely on borrowing [Exhibit 9], which gives management time to produce records without lender pressure.

4. The order is interim, so the upside is large if REL is cleared. An interim order starts an inquiry. It is not a final finding. Management denies wrongdoing and has said it will cooperate with the forensic audit, while the stock already prices in a severe outcome. If the audit confirms the group's consolidation, institutional confidence could return and the stock could re-rate sharply [Exhibit 10].

This case is logical. Its weakness is that the documents needed to prove it have not yet been produced.

4. Bear Case

1. The revenue does not reconcile. From FY21 to FY25, subsidiaries were attributed Rs 15,18,413 crore of revenue, while Valcambi reported only Rs 3,027 crore of audited revenue [Exhibit 8]. The refinery at the centre of the investment story accounts for about 0.2% of the revenue attributed to subsidiaries. This raises a basic question: where is the reported revenue actually coming from?

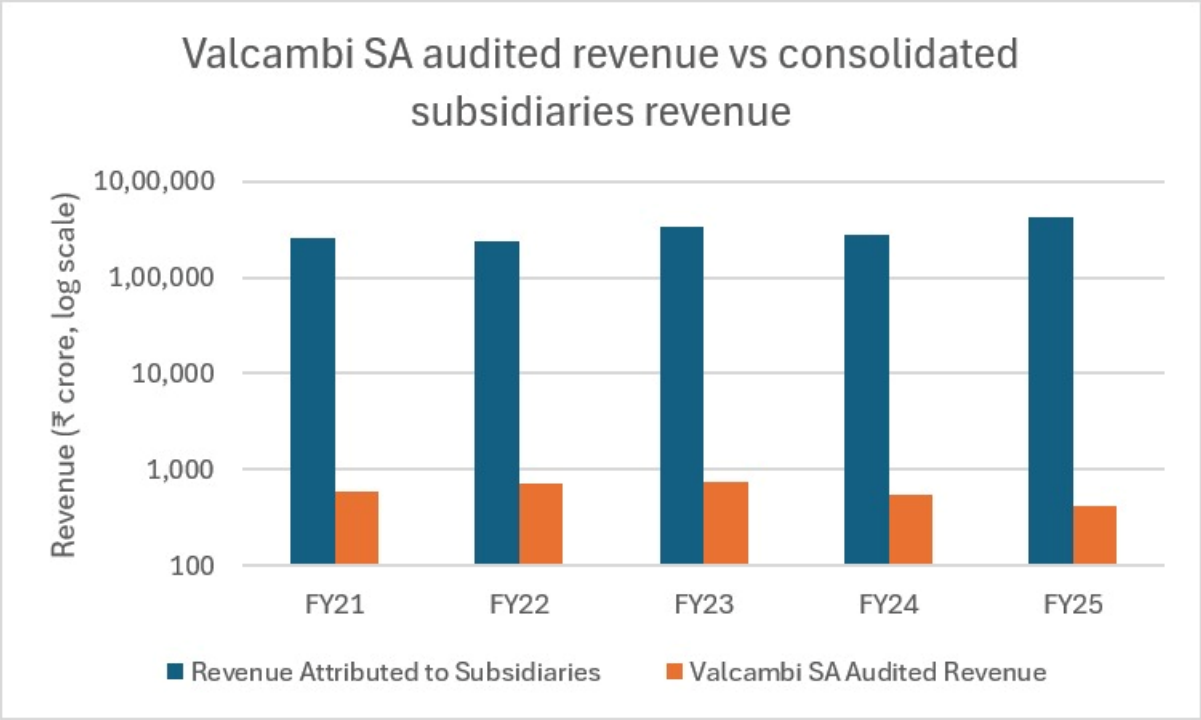
[1] SEBI interim order, 3 June 2026, as reported by Value Research (valueresearchonline.com/stories/228727) and Outlook Business (outlookbusiness.com).

[2] The Wire, 11 June 2026, "Rajesh Exports' decision to not challenge SEBI order surprises investors".

[3] Screener.in, Rajesh Exports consolidated data, accessed 30 September 2026. 52-week high as reported by Value Research.

[4] Valcambi SA, "At a glance" (valcambi.com). Tonnage is our estimate, using a gold price of Rs 6,500 to 8,500 per gram in FY25.

Figure 1: Revenue attributed to subsidiaries vs Valcambi audited revenue, FY21-FY25 (Rs crore, log scale)



Source: Exhibit 8

2. The gap is widening, which a methodology difference would not explain.

Table 2: Derived metrics (from Exhibits 4, 5 and 8)

Metric	FY21	FY22	FY23	FY24	FY25	Inference
Subsidiary revenue/Valcambi audited revenue	437x	325x	449x	507x	974x	Widening, not stable. A method difference would give a steady ratio
Valcambi as % of subsidiary revenue	0.23%	0.31%	0.22%	0.20%	0.10%	Over 99.8% is outside the refinery's audited books
Subsidiary PAT margin	0.29%	0.42%	0.42%	0.12%	0.02%	The collapse is in the overseas business, not India
Standalone (India) PAT margin	4.8%	0.37%	0.52%	0.31%	0.34%	The Indian parent is small but steadier

The ratio more than doubled. Valcambi's audited revenue also fell 27% (Rs 586 crore to Rs 427 crore) while attributed revenue rose 62%. If Valcambi drove group revenue, the two would move together.

3. The company's defence moves the question but does not answer it. If Valcambi only earns fees, the gross revenue must sit in Global Gold Refineries SA (GGR), a holding company [Exhibit 1]. Booking bullion sales of this size needs real trading operations, owned inventory and verifiable counterparties. Public reports indicate that GGR was not independently audited, while KPMG audited Valcambi.[5] The entity carrying almost all the revenue has the weakest audit trail.

SEBI's order raises the principal-versus-agent issue directly, questioning how a consolidating entity can include "the market value of goods belonging to third party as its revenue".[6] If the gold belonged to

[5]Finnovate, "Rajesh Exports SEBI order: the auditor failure India needs to reckon with" (finnovate.in).

[6]Outlook Business, "The Rajesh Exports case: what SEBI's interim order alleges and what happens next", quoting the SEBI order.

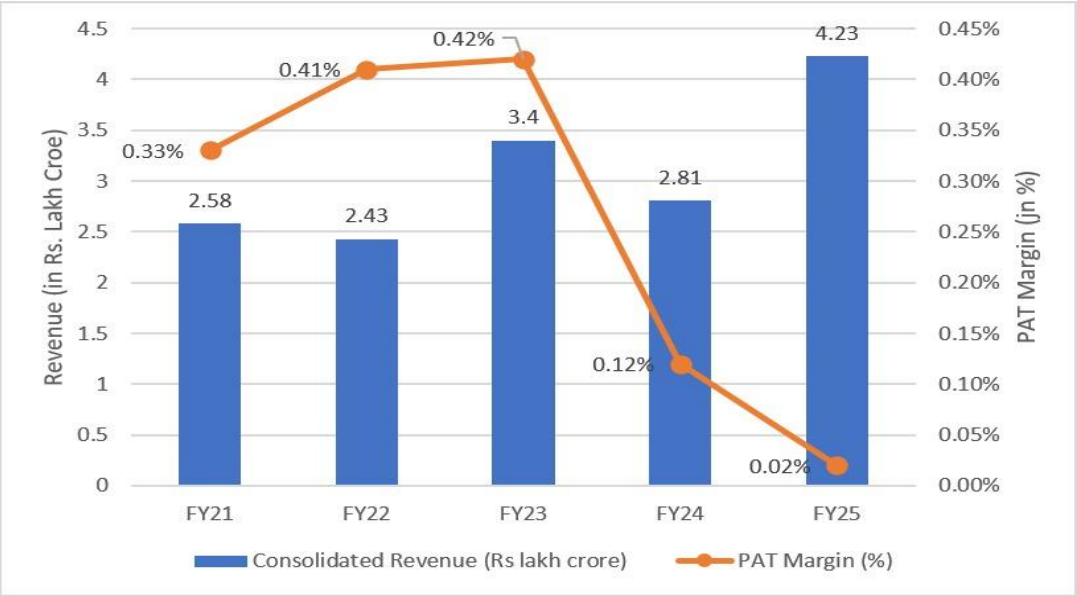
customers, only the fee is revenue. The company's description of the Valcambi figure has also shifted, from "value-addition figures" [Exhibit 9] to "EBITDA",[7] while Exhibit 8 records it as audited revenue.

4. REL has not provided the evidence. The company failed to furnish transaction-level records despite repeated requests [Exhibit 7]. Without invoices, ledgers, bank trails and shipping records, no one can verify the revenue. Real sales leave paperwork, and refusal to share records is a clear bearish signal [Exhibit 12].

5. Profit does not follow revenue.

- FY25 revenue rose 51% year on year while PAT fell 72%. Growth with no profit is a classic forensic red flag [Exhibits 4, 5].
- PAT fell 93% from FY23 to FY25 (Rs 1,432 crore to Rs 95 crore) while revenue rose 25%.
- At a 0.02% margin, a misstatement of just 0.05% of FY25 revenue (about Rs 212 crore) is more than twice the year's profit. There is no margin of safety [Exhibit 6].

Figure 2: Consolidated revenue vs PAT margin, FY21-FY25



Source: Exhibits 4 to 6

6. The structure and governance raise the risk further. Investors have little visibility into the overseas subsidiaries' customers, suppliers and transactions [Exhibit 3]. At Wirecard, Sino-Forest and Brightcom, revenue booked through hard-to-see entities was later linked to circular or unverified transactions, and shareholders lost most of their value. These doubts existed before the order, so the problem is long-standing.

7. Post-order developments add weight (all are allegations, not final findings):

- SEBI states that REL denied BDO, the earlier forensic auditor, meaningful access to its ERP systems, citing Swiss data protection. Complete documents covered only a small part of a sample of over Rs 7,000 crore of transactions.[8]
- REL recorded about Rs 11,487 crore of transactions with Affluence Shares and Stocks, which reportedly denied that REL was its client.

[7] Business Standard, 10 June 2026, "Sebi mistook Valcambi's EBITDA as revenue; all records submitted: REL".

[8] Value Research, "SEBI orders forensic audit of Rajesh Exports Rs 15 lakh crore revenues"; JM Financial, "SEBI uncovers Rs 15 lakh crore revenue hole at Rajesh Exports".

- Rs 1,035 crore of claimed African mining investments reportedly lacked valuation reports and entity-wise details.
- The Enforcement Directorate searched REL premises on 24-25 June 2026 under FEMA. REL says no discrepancies were found.[9]
- REL's FY26 auditor noted the absence of edit logs (an audit trail) in the company's ERP system.[10]

8. "Cheap" is not cheap. If revenue is uncertain, profit and book value are uncertain too. A price-to-book of about 0.12x looks extreme, but it rests on numbers we cannot verify.[11] Even if REL survives, the market may de-rate it for years [Exhibit 11].

5. Key Evidence Needed

Only independent evidence, not management statements, can change our view. Table 3 also tracks the seven questions raised by our forensic accounting consultant.

Table 3: Evidence that would change our recommendation

#	Evidence	Question it answers	What "good" looks like	Status today	Effect on our view
1	Customer-wise sales ledger with independent confirmations	Who were the customers?	Named, unrelated buyers confirm balances	Not provided [Exhibit 7]	Bullish if verified
2	Vendor-wise purchase ledger	Who were the suppliers?	Traceable sources of gold	Not provided [Exhibit 7]	Bullish if verified
3	Invoices matched to bank statements and to shipping, vault and customs records	Were there invoices, shipping documents and bank trails?	Cash, paperwork and physical metal all match	Largely unanswered. Only a small part of the sample documented	Bullish if verified
4	Related-party and counterparty review	Were transactions circular?	No round-tripping. Counterparties confirm	Affluence denial raises doubt	Bearish unless resolved
5	Reconciliation of Valcambi audited accounts to GGR and to REL consolidated accounts	Did Valcambi's audited accounts reconcile with the consolidated numbers?	Every rupee traced and intra-group sales eliminated	Not reconciled [Exhibit 8]	Resolves the core gap if clean
6	Public, audited accounts of GGR SA and REL Singapore	Why were subsidiary accounts not visible? Why rely on unaudited consolidation numbers?	Unqualified audits, published	Not available	Required for any re-entry
7	Proof of principal status: title, inventory and price risk, pricing control	Is gross revenue recognition justified?	Contracts show the group owned the gold it sold	Not shown	Validates gross revenue
8	Full forensic audit by the SEBI-appointed auditor	All of the above	Clean report, no restatement	Pending	Main re-entry trigger

[9]The Hans India, "ED searches Rajesh Exports premises over FEMA violations", 25 June 2026; company statement reported by Whalesbook, 25 June 2026.

[10]Whalesbook, "Rajesh Exports FY26 profit rises to Rs 111.5 cr; debt-free status", on the FY26 annual report released 23 September 2026.

[11]Screener.in, Rajesh Exports consolidated data, accessed 30 September 2026. 52-week high as reported by Value Research.

Red flags that would confirm our exit [Exhibit 12]: auditor resignation or a qualified opinion, revenue restatement, continued refusal of records or ERP access, unexplained related-party flows, and penalties or a trading suspension.

Re-entry test: rows 5, 6 and 8 must all come back clean. We will review the classification every quarter and after any update from SEBI, the forensic auditor or the statutory auditor.

6. Final Decision

We recommend D: Forensic Red Flag/Uninvestable, with an orderly exit.

Is REL a misunderstood refining giant or an accounting mirage? On today's evidence we cannot tell, and that is the answer that matters. We do not need to prove a mirage to step away. We would need proof of the giant to stay.

Table 4: Three tests applied to REL's revenue

Test	Question	Result
Plausibility	Could this business produce this revenue?	Passes. Gold volumes and thin margins fit the industry
Accounting basis	Is gross revenue justified, and in which entity?	Unresolved. Revenue sits in a holding company with unaudited consolidation
Evidence	Are there verifiable transaction-level records?	Fails so far. Records not furnished [Exhibit 7]

Answers to the Portfolio Manager's four questions

1. **Can we trust the reported revenue?** Not today. About 98% of it sits in subsidiaries, over 99.8% of that is outside Valcambi's audited books, and transaction-level records have not been provided.
2. **Does the company's explanation make sense?** In principle, yes, because fee revenue and gross trading revenue do differ. In evidence, no. The explanation is untested, the booking entity is a holding company, and the gap is widening.
3. **What evidence would change our mind?** A clean independent forensic audit, a reconciliation from Valcambi to GGR to REL's consolidated accounts, public audited accounts for the overseas subsidiaries, and proof that the group owned the gold it recorded as sales (Section 5).
4. **Should we hold, exit or classify it as uninvestable?** Classify it as uninvestable and exit the position.

Temporary misunderstanding or permanent trust break? It could prove temporary if the records arrive. But the burden of proof is on the company, and after two years of questions without those records, we treat it as a trust break.

Why not A (Buy/Average Down): it adds capital to a claim we cannot check.

Why not B (Hold/Wait): waiting is not neutral. Forensic audits take years, and in Gensol and Brightcom, regulatory action was followed by lower circuits and, for Brightcom, a trading suspension that locked holders in.

Why D and not only C: the screen that bought REL will mark it even cheaper after an exit. D blocks a repeat purchase until the numbers are verified.

Table 5: Illustrative payoff (analyst assumptions)

Scenario	Assumed probability	Assumed stock move
Clean audit, explanation proven	15%	+125%
Partial restatement, penalties, long delay	35%	-50%
Material misstatement confirmed	50%	-95%

The weighted outcome is about -46%, and it is still about -13% even with a 30% chance of a clean audit. The inputs are judgement calls. The lopsided shape is the point.

Execution plan

- Move REL to the restricted list today.
- Sell the position in tranches over 5-10 trading days. Avoid lower-circuit sessions and use block trades if liquidity is thin.
- Treat the purchase price as a sunk cost. We would not buy REL today.
- Add a screening rule that flags companies with over 90% of revenue from subsidiaries without public audited accounts.
- Revisit only if the re-entry test in Section 5 is met.

When we cannot verify revenue, we cannot value the equity. When we cannot value it, we should not own it.

Final Recommendation Box

CHOOSE ONE

☐ **A.** Buy/Average Down	☐ **B.** Hold/Wait for Forensic Audit
☐ **C.** Exit/Avoid	☒ **D. Forensic Red Flag/Uninvestable**

We recommend D. The issue is not whether REL is cheap. **It is whether its numbers can be verified**, and today they cannot. We will exit the legacy position over 5-10 trading days and keep REL off the investable list until independent, transaction-level verification is complete.

About **98% of REL's consolidated revenue comes from overseas subsidiaries** [Exhibit 4]. Over FY21-FY25, those subsidiaries were attributed Rs 15,18,413 crore of revenue, while Valcambi, the refinery at the heart of the story, reported Rs 3,027 crore of audited revenue [Exhibit 8]. The gap widened from 437x to 974x. SEBI says the company did not furnish transaction-level records despite repeated requests, and calls Rs 15.15 lakh crore prima facie misrepresented [Exhibit 7]. In FY25, revenue rose 51% while profit fell 72%, leaving a **0.02% margin** with no room for error [Exhibits 5, 6].

The company's defence deserves weight. Gold refining is a high-volume, low-margin business. A refinery that earns fees will report far less revenue than a trading arm that buys and sells gold as owner, and the volumes involved are physically possible. However, this explanation moves the question to a Swiss holding company whose consolidation was not independently audited, and REL has not produced the ledgers, bank trails or ownership evidence that would prove it. Since the order, the reported denial of ERP access to the forensic auditor, a Rs 11,487 crore counterparty that denies the relationship, and an Enforcement Directorate search have added to the concern. These remain allegations, and the order is interim.

We reject buying because **it adds capital to a claim we cannot check**. We reject holding because **waiting is not neutral**. Forensic audits take years, and similar cases have ended in lower circuits and trading suspensions that trap investors. We choose D over C because the screen that first marked REL as cheap will mark it cheaper still, and D **prevents a repeat purchase on unverified data**.

Our illustrative payoff is negative (about -46%), and it stays negative even with generous odds of a clean audit. The downside is close to total, while the upside is uncertain and cannot be measured.

We would reconsider only if three things come back clean: a full independent forensic audit, a line-by-line reconciliation from Valcambi's audited accounts through the holding company to REL's consolidated revenue, and public, audited accounts for the overseas subsidiaries. Management statements alone will not be enough.

Gold refining explains why the revenue could be large. It does not show that this revenue is real. Until it is shown, fiduciary capital should stay out.